

Property and Casualty Claims

Standard Operating Procedure

Document Reference	SOP-INS-012
Version	3.1
Effective Date	15 January 2025
Review Date	15 January 2026
Owner	P&C; Claims — Claims Operations
Approved By	Chief Claims Officer
Classification	Internal Use Only — Claims Restricted
Applicable To	All property and casualty insurance claims submitted under Meridian Insurance Group personal and commercial lines policies

1. Purpose

This SOP defines the end-to-end process for receiving, triaging, appraising, adjusting, and settling property and casualty insurance claims. It establishes the controls necessary to ensure accurate loss assessment, authorised settlements, prompt payment, and the identification and pursuit of subrogation and salvage opportunities, while maintaining a high-quality claimant experience.

2. Scope

This procedure applies to:

- All personal and commercial property damage claims (home, motor, commercial property)
- Casualty claims including third-party liability and bodily injury
- Claims received via First Notice of Loss (FNOL) phone, portal, mobile app, or written notification
- Subrogation and salvage recovery processes

This procedure does NOT cover: medical claims (SOP-INS-011), life claims (SOP-INS-013), or reinsurance claim notifications and recoveries (SOP-RE-001).

3. Roles and Responsibilities

Role	Responsibilities
Claims Processor	Receives FNOL; registers claim; conducts initial coverage verification; assigns to appropriate adjuster; manages administrative workflow; closes claim file upon settlement.
Claims Adjuster	Assesses damages and liability; arranges property inspections; negotiates settlement; manages repair authorisations; approves settlements within authority limit; identifies subrogation opportunities.
Claims Manager	Approves claims above adjuster authority; oversees reserve adequacy; reviews large and complex losses; manages litigation referrals; reports to Chief Claims Officer.
Assessor / Loss Adjuster (External)	Conducts on-site property assessment for major losses; prepares scope of damage report; provides independent repair cost estimate.
Fraud & Special Investigations Unit (SIU)	Investigates claims with fraud indicators; conducts surveillance and interview; recommends rejection or prosecution.
Subrogation / Recovery Analyst	Identifies third-party liability; pursues recovery from at-fault parties and their insurers; manages salvage sale of damaged property.

4. Pre-requisites and Triggers

Triggered when a policyholder or their authorised representative submits a First Notice of Loss (FNOL) following a loss event. Emergency claims (e.g., major structural damage, total vehicle loss) are prioritised and may bypass standard queue routing.

5. Process Steps

5.1 First Notice of Loss (FNOL) and Registration

#	Activity	Responsible	Output / Notes
1	FNOL received via phone, portal, app, or mail	Claims Processor / System	Claim ID assigned; date and time of loss, circumstances, and policyholder contact details recorded
2	Policy coverage verification	Claims Processor / PAS	Policy active at date of loss; peril is covered; deductible and sum insured confirmed; any prior claims noted
3	Initial loss triage and priority assignment	Claims Processor	Loss severity estimated; priority: Standard (proceed to queue), Urgent (fast-track), Major (Claims Manager notified), Fraud Flag (SIU).
4	Claim registered in Claims Management System	Claims Processor	Full claim record created; reserve estimate set; acknowledgement sent to claimant within 1 business day

5.2 Appraisal

#	Activity	Responsible	Output / Notes
5	Claim assigned to adjuster	Claims Processor / System	Assignment based on claim type, complexity, and adjuster workload; adjuster contacts claimant within 2 business days
6	On-site inspection or desktop assessment	Adjuster / External Assessor	Inspection arranged within 5 business days for standard claims; 48 hours for urgent claims; digital photo evidence accepted for minor losses
7	Damage or liability report prepared	Adjuster / Assessor	Scope of damage documented; repair estimate or liability assessment completed; photos attached to claim file
8	Fraud screening completed	Claims System / SIU	Automated fraud score assessed; flagged claims suspended and transferred to SIU within 1 business day

5.3 Adjustment and Settlement

#	Activity	Responsible	Output / Notes
9	Settlement amount calculated	Adjuster	Loss amount less deductible; depreciation applied (actual cash value) or replacement cost per policy basis; co-insurance check for property claims
10	Settlement approved within authority	Adjuster / Claims Manager	Adjuster: up to SGD 50,000. Claims Manager: SGD 50,001–250,000. CCO: above SGD 250,000.
11	Settlement offer communicated to claimant	Adjuster	Written offer with itemised breakdown; claimant given 10 business days to accept or dispute
12	Claimant accepts; payment processed	Adjuster / Finance	Bank transfer or cheque within 5 business days of acceptance; remittance advice issued
13	Claim closed and reserves released	Claims Processor / Finance	Claim status set to 'Settled'; loss reserve adjusted to final paid amount; GL updated in SAP

5.4 Subrogation and Salvage

#	Activity	Responsible	Output / Notes
14	Subrogation opportunity identified	Adjuster / Recovery Analyst	Third-party liability established; recovery potential assessed; insured's assignment of rights obtained
15	Subrogation recovery pursued	Recovery Analyst / Legal	Demand letter issued to at-fault party or insurer; recovery timeline tracked; Legal engaged for contested recoveries
16	Salvage sold	Recovery Analyst	Total loss vehicles and salvageable property sold via approved salvage agent; net proceeds reduce ultimate loss cost

6. Decision Points and Exception Handling

6.1 Disputed Settlement

- Claimant disputes settlement offer in writing within 10 business days; dispute logged in Claims System
- Claims Manager reviews dispute within 5 business days; revised offer or maintained position communicated in writing
- If unresolved after 30 calendar days: claimant advised of external dispute resolution options (FIDREC, MAS dispute resolution scheme)

6.2 Suspected Fraud

- SIU takes custody of claim; settlement suspended
- Investigation completed within 20 business days; Claims Manager decides to reject, settle, or refer to authorities
- All rejected fraud claims logged in fraud register and submitted to industry fraud database

6.3 Total Loss (Motor)

- Total loss declared when repair cost exceeds 75% of pre-accident market value
- Market valuation obtained from approved independent valuer; settlement based on market value less salvage (if retained by insured)
- Finance encumbrance (loan or lease) checked; payment directed to financier first where applicable

6.4 Major or Catastrophe Loss

- Claims Manager notified immediately; CCO briefed for losses above SGD 250,000
- External loss adjusters deployed; dedicated major loss team assigned
- Reinsurance notification triggered per SOP-RE-001 for losses above treaty retention

7. Systems and Tools

System / Tool	Purpose	Access
Claims Management System (Majesco)	FNOL registration, workflow, assessment, settlement, reserve management	All Claims roles
Policy Administration System (PAS)	Coverage verification, policy terms, prior claims history	Claims Processor, Adjuster
SAP S/4HANA	Payment processing, loss reserve GL management, subrogation recovery accounting	Finance, Claims Manager
Fraud Detection System	Automated claim fraud scoring, SIU flagging	Automated / SIU
Assessor Portal	External assessor report submission, photo upload, estimate approval	External Assessor, Adjuster
Salvage Management Platform	Salvage listing, buyer management, sale proceeds recording	Recovery Analyst

8. Key Performance Indicators

- FNOL acknowledgement SLA: 100% of claims acknowledged within 1 business day of FNOL receipt
- Time-to-first-contact by adjuster: 95% of claimants contacted within 2 business days of claim registration
- Inspection completion SLA: 90% of inspections completed within 5 business days (standard) or 48 hours (urgent)
- Claims cycle time: 80% of straightforward P&C; claims settled within 15 business days of complete documentation
- Claimant satisfaction: Minimum 4.1 out of 5.0 on post-settlement survey
- Subrogation recovery rate: Minimum 65% of identified subrogation opportunities result in recovery
- Reserve adequacy: Less than 10% variance between initial reserve and final settled amount for standard claims

9. Related Documents

- SOP-INS-011: Medical Claims Processing
- SOP-RE-001: Reinsurance Claim Notification and Recovery
- POL-CLAIMS-001: Claims Handling Philosophy and Authority Matrix
- POL-COMP-007: Anti-Fraud Policy
- POL-LEGAL-004: Litigation Management Policy

10. Document Control and Revision History

Version	Date	Author	Summary of Changes
1.0	01 Jan 2018	B. Hoang, Claims	Initial release
2.0	15 Apr 2021	B. Hoang, Claims	Full rewrite; added salvage and subrogation steps; migrated to Majesco
2.1	10 Mar 2022	E. Okafor, Claims Manager	Added catastrophe loss protocol; updated authority matrix
3.0	01 Aug 2023	E. Okafor, Claims Manager	Added digital FNOL channels; enhanced fraud scoring integration; revised SLAs
3.1	15 Jan 2025	E. Okafor, Claims Manager	Updated SGD authority thresholds; added total loss motor protocol; aligned to reinsurance notification SOP